

# Retirement Goal Setting

**“Without goals, and plans to reach them, you are like a ship that has set sail with no destination”**

Fitzhugh Dodson

Like any destination, the ‘Goal of Retirement’ too is akin to the end of a journey. To start any journey one needs a map or a plan. Goal setting for retirement should follow the best principles of Goal Setting.

To put it succinctly, goal setting should be SMART i.e. it should be:

- ☒ Specific
- ☒ Measurable
- ☒ Achievable
- ☒ Realistic
- ☒ Tracked



Let's look at each factor and start with Specific. The specific goal can be in physical terms/age terms. For example, you could say, "I want to retire at 55." However, retirement is a function of money rather than age. This means your retirement goal should actually read, "When my portfolio consisting of retirement assets is worth Rs. 2 crores, I will retire." Then, you could go about taking action towards retirement, by using the Retirement Goal calculator.

| Retirement expenses calculator |         |                  |                       |          |
|--------------------------------|---------|------------------|-----------------------|----------|
| CATEGORY                       | Current | Inflation factor | At time of Retirement | Comments |
| <b>INCOME</b>                  |         |                  |                       |          |
| Earned Income                  |         |                  |                       |          |
| Interest Income                |         |                  |                       |          |
| Investment Income              |         |                  |                       |          |
| Miscellaneous Income           |         |                  |                       |          |
| Pension                        |         |                  |                       |          |
| <b>Income Subtotal</b>         |         |                  |                       |          |
| <b>TAXATION</b>                |         |                  |                       |          |
| Income Tax                     |         |                  |                       |          |
| <b>Spendable Income</b>        |         |                  |                       |          |
| <b>EXPENSES</b>                |         |                  |                       |          |
| <b>HOME</b>                    |         |                  |                       |          |
| Mortgage or Rent               |         |                  |                       |          |
| Society Charge                 |         |                  |                       |          |
| Property Tax                   |         |                  |                       |          |
| Home Repairs / Maintenance     |         |                  |                       |          |
| Home Improvement               |         |                  |                       |          |
| <b>UTILITIES</b>               |         |                  |                       |          |
| Electricity                    |         |                  |                       |          |



|                               |  |  |  |  |
|-------------------------------|--|--|--|--|
| Water                         |  |  |  |  |
| Telephone (Land Line, Cell)   |  |  |  |  |
| <b>FOOD</b>                   |  |  |  |  |
| Groceries                     |  |  |  |  |
| Eating Out, Lunches, Snacks   |  |  |  |  |
| <b>FAMILY OBLIGATION</b>      |  |  |  |  |
| Alimony                       |  |  |  |  |
| Day Care, Babysitting         |  |  |  |  |
| <b>HEALTH AND MEDICAL</b>     |  |  |  |  |
| Insurance (medical)           |  |  |  |  |
| Medical expenses              |  |  |  |  |
| Fitness (Yoga, Massage, Gym)  |  |  |  |  |
| <b>TRANSPORTATION</b>         |  |  |  |  |
| Car EMI                       |  |  |  |  |
| Petrol                        |  |  |  |  |
| Auto Repairs / Maintenance    |  |  |  |  |
| Car Insurance                 |  |  |  |  |
| Other (tolls, bus, taxi, tax) |  |  |  |  |
| <b>DEBT PAYMENT</b>           |  |  |  |  |
| Credit Cards                  |  |  |  |  |
| Housing EMI                   |  |  |  |  |
| Other Loan                    |  |  |  |  |
| <b>ENTERTAINMENT</b>          |  |  |  |  |
| Cable TV / Videos / Movies    |  |  |  |  |
| Net Connection                |  |  |  |  |
| Hobbies                       |  |  |  |  |
| Magazines                     |  |  |  |  |
| Vacation                      |  |  |  |  |



|                                                                                     |  |  |  |  |
|-------------------------------------------------------------------------------------|--|--|--|--|
| <b>PETS</b>                                                                         |  |  |  |  |
| Food                                                                                |  |  |  |  |
| Pets Maintenance                                                                    |  |  |  |  |
| <b>CLOTHING</b>                                                                     |  |  |  |  |
| <b>INVESTMENTS &amp; SAVINGS</b>                                                    |  |  |  |  |
| 80 C                                                                                |  |  |  |  |
| Mutual Funds                                                                        |  |  |  |  |
| Emergency Funds                                                                     |  |  |  |  |
| Savings                                                                             |  |  |  |  |
| <b>MISCELLANEOUS</b>                                                                |  |  |  |  |
| Toiletries, Household Products                                                      |  |  |  |  |
| Gifts / Donation                                                                    |  |  |  |  |
| Grooming                                                                            |  |  |  |  |
| Miscellaneous Expenses                                                              |  |  |  |  |
| <b>Total Investment and Expenses</b>                                                |  |  |  |  |
| <b>Surplus / Shortage (Spendable<br/>Income minus expenses &amp;<br/>investment</b> |  |  |  |  |

Let us take the case of Mr. Rahul Agarwal. He is 43 years of age with a monthly investing ability of Rs. 33,000. When he came to me for his retirement planning, he was saving for his daughter's education (Rs. 18,000 per month), a foreign tour (Rs. 12,000 per month) and Rs. 3,000 for his retirement.

When we made a realistic calculation of his retirement requirements, he needed to invest Rs. 40,000 per month for the next 15 years! At this stage, Rahul went through what I call an emotional upheaval — first, he was in denial and then he was angry! Once he had calmed down, we went through the calculations again, and he realized that the



numbers didn't lie, there was very little choice, and he had to re-prioritize his goals requirement.

He quickly realized that if he tried to invest sequentially for his goals, retirement came at the bottom of the list. Taking a practical approach, he down sized his dreams for his daughter's education and marriage.

Retirement cannot be down sized, postponed or avoided! Even if one person were to die, the spouse may still have her/his goals, and retirement needs. This is the most important incentive to save/invest.

Rahul re-ranked his goals as follows:

1. Retirement (Rs. 24,000 per month)
2. Daughter's needs (Rs. 9,000 per month)
3. Foreign trip (depending on annual bonus only)

Now, Rahul and his wife are happier that they calculated the true costs and impact before they made a trip to Singapore! It was a natural consequence of Rahul's own prioritization.

Now, let's get to the next factor of **Measure of goal setting**. If you read the earlier example carefully, you will realize that all of Rahul's goals are now quantified and thus measured. Similarly, do write down your financial goals and match it against your financial life.

The next step to see is if your goal setting is Achievable. This means the goal should be within your reach. If you have set a goal of 'retiring at 48' and that looks difficult, you could:



- Reduce current expenses
- Invest more, facilitated by reducing expenses
- Downsize other goals, which will help you direct more money towards retirement
- Retire later, subject to your health and company rules

Doing these will make the goal more achievable and make it

**Realistic**, which is the next step in goal setting.

As the last step, comes Tracking your goals to ensure that your goals are fructifying.

Choose a portfolio tracker software or use a plain and simple excel sheet and track your goals to check if they are on the rails. The real life analogy is simple: If you were traveling by train you would occasionally keep a watch on the stations that you pass to ensure that you are going in the right direction, wouldn't you?

Therefore, for your retirement goal it is necessary to do the following:

- ☒ Set the goal
- ☒ Ensure that the goal is SMART
- ☒ Write down the goal: un-written goals are just dreams and written goals suddenly seem tangible
- ☒ Start investing
- ☒ Keep track



## A few caveats

Be careful when you re-prioritize your goals. A bull run should not lull you into believing that the amount to be invested can be reduced while retaining the size of the goal. For example, if you started investing in the equity market when the market was in a bear phase, then a return of 10% p.a. looked difficult; however, in 2 years your portfolio was up 45% due to a bull run. At this stage, you may be tempted to reduce the amount you think you need to save/invest for retirement, because you believe the returns will more than make up the deficit amount. Be careful of this pitfall, as the markets can be unpredictable.

